# CAPITALFLOW

Fintech Concept & Business Plan

**Concept:** A capital-management and loan-operations platform for small lenders, designed to help them track their own funds, manage lending risk, measure actual profitability and prepare for responsible use of external financing.

**Proposed strategy: Build the system for one lending business first, validate it using reconciled real-world data, then commercialise it as a subscription software product for other small lenders.**

Working name only — subject to company-name, domain and trademark checks.

Prepared 15 October 2026 | South African context | Concept-stage document

# 1. Executive summary

CapitalFlow is a proposed fintech operating system for small lending businesses. It is not intended to be a bank or an investment scheme. Its initial purpose is to help a lender run a more controlled operation using its own capital, with the option to support external bank financing later where legally and commercially appropriate.

The platform would combine six core functions: capital tracking, loan administration, risk monitoring, profitability reporting, funding management and an owner dashboard. Once tested in the founder's own operation, the product could be sold to other small lenders on a monthly subscription basis.

**The recommended route is to begin with software and internal operating controls—not public fundraising, pooled investor money or automatic bank borrowing.**

# 2. The problem and opportunity

Small lenders often manage customers, repayment dates, arrears, cash balances and profit calculations across spreadsheets, messaging apps and bank statements. This makes it difficult to answer basic questions reliably: how much cash is available, how much is outstanding, which loans are late, whether interest earned has actually been collected, and whether the business can safely expand.

CapitalFlow would turn those separate records into a consistent operating picture. The commercial opportunity is to sell better administration and decision support to small lenders who need more structure but may not be ready for a large enterprise lending system.

# 3. How the capital model works

The proposed sequence is to use the lender's own capital within a defined exposure limit, track performance and cash collection, maintain a loss and liquidity buffer, and only then consider an approved external credit facility.

| Stage | What happens | Control |
|---|---|---|
| 1. Own capital | Deploy a controlled share of the business's own available funds. | Keep liquidity; set a maximum exposure and minimum cash reserve. |
| 2. Measure | Track disbursements, contractual interest, collections, arrears, expenses and write-offs. | Reconcile every loan and bank transaction. |
| 3. Validate | Build a reliable record of collections, losses, profitability and customer behaviour. | Use real results rather than assumed returns. |
| 4. External funding | If justified, use a bank or finance facility under approved terms. | Check funding cost, covenants, affordability and downside scenarios. |

Bank funding should not automatically switch on when own funds are exhausted. It should be considered only after performance, liquidity and risk conditions are met. Borrowing adds repayment obligations and can magnify losses.

# 4. Product modules

## Module 1 — Capital engine

Separates own capital, cash available, principal outstanding, repayments received, reserves and borrowed funds. It should never count money owed by borrowers as if it were already cash in the bank.

## Module 2 — Loan management

Stores customer and application records, agreements, principal, charges, due dates, repayment schedules, receipts, arrears and communication history. It should support accurate corrections and a clear audit trail.

### Module 3 — Risk engine

Flags late payments, repeat defaults, concentrations by customer or segment, overdue balances and loans that exceed internal exposure limits. Risk scores should be explainable and reviewed for fairness and data quality.

### Module 4 — Profit engine

Separates interest billed from interest collected. Estimates net operating results after bad debts, funding costs, collection costs, software and staff expenses, and other operating expenses. Tax and accounting treatment should be confirmed with a qualified professional.

### Module 5 — Funding engine

Tracks any bank facility separately, including the amount drawn, available limit, interest cost, repayment terms and conditions. It can flag when the expected loan economics do not cover funding and risk costs.

### Module 6 — Owner dashboard

Displays cash available, principal outstanding, collections due, arrears, default indicators, net operating result, capital deployed and concentration risks. Reports should be downloadable and reconcilable to source records.

## 5. Illustrative financial model

The following is a simple scenario, not a forecast or a recommendation about lending rates. It assumes all deployed capital earns the selected monthly rate during the month. Actual results depend on timing, the contract, borrower payments, legal pricing limits, defaults and expenses.

| Assumption / output | Illustrative value | Meaning |
|---|---|---|
| Own capital | R30,000 | Starting capital in the example. |
| Capital deployed | 80% = R24,000 | R6,000 remains undeployed as a simple liquidity buffer. |
| Monthly interest assumption | 20% | Purely illustrative input; not a claim that this rate is legally permitted. |
| Gross interest modelled | R4,800 | R24,000 × 20%, assuming full-period performance. |
| Loss assumption | 5% of deployed capital = R1,200 | Simplified expected-loss allowance. |
| Operating costs | R1,000 | Illustrative monthly operating costs. |
| Simplified net result | R2,600 | R4,800 – R1,200 – R1,000; before tax and other omitted items. |

Formula for the simplified model: net result = gross interest modelled – estimated credit losses – funding costs – operating costs. A production system should use actual contractual terms, daily or period-specific balances, real cash receipts, write-off rules and timing differences. It must not assume every loan earns its full expected interest.

## 6. Proposed SaaS business model

The software could be sold as a monthly subscription. Pricing below is a proposed test, not researched market pricing and not a promise of demand.

| Plan | Proposed price | Possible features |
|---|---|---|
| Starter | R299/month | Customer records, loan tracking, repayment schedules and basic dashboard. |
| Professional | R799/month | Automated reports, arrears management, capital allocation, profitability analytics and multiple staff users. |

| Plan | Proposed price | Possible features |
|---|---|---|
| Business | R1,499+/month | Multiple branches, advanced permissions, accounting integrations and funding-facility reporting. |

| Paying customers | Monthly recurring revenue at R799 | Annualised revenue |
|---|---|---|
| 10 | R7,990 | R95,880 |
| 50 | R39,950 | R479,400 |
| 100 | R79,900 | R958,800 |

These are revenue calculations before hosting, development, support, payment processing, sales, taxes and other costs. Reaching and retaining customers is uncertain and requires validation.

# 7. South African compliance and risk considerations

The product should be designed as loan-management software first. The legal obligations depend on what the business actually does, who supplies the money, who contracts with borrowers, how charges are structured, and whether the platform performs regulated activities.

- **Credit regulation:** Confirm with a South African attorney or compliance specialist whether the lending business must register with the National Credit Regulator and how the National Credit Act and applicable regulations apply to its loan products, pricing, disclosures, affordability assessments and collections.
- **Third-party funds:** Accepting pooled money or promising outside people a return may raise additional investment, financial-services, deposit-taking and contractual questions. Do not launch this model without specific legal advice.
- **Privacy:** Build for POPIA compliance, data minimisation, secure access, retention rules, breach response and appropriate customer notices.
- **Security:** Use strong authentication, role-based permissions, encrypted data transfer and storage, backups, audit logs and a documented recovery process.
- **Accounting and tax:** Agree with an accountant on how to record principal, interest, fees, impairments, write-offs, funding costs and tax.
- **Bank funding:** Review the facility agreement, pricing, repayment terms, security, covenants and restrictions before drawing funds.

**This document is a concept plan, not legal, tax, investment or credit advice. The legal structure and product should be reviewed by qualified South African professionals before live use.**

# 8. Recommended build roadmap

| Phase | Work | Exit criteria |
|---|---|---|
| 1. Prototype | Create a spreadsheet or simple web app for customer records, loans, schedules, collections, capital and profit. | Core calculations tested and records can be reconciled. |
| 2. Internal pilot | Use real operating data; record exceptions and improve the workflow. | Balances and reports agree with source records; errors are documented. |
| 3. Controls | Add permissions, backups, audit logs, data protection, reviewed documents and compliance workflows. | Security and legal review completed for intended use. |
| 4. External pilot | Invite 3–5 small lenders to test the product and provide structured feedback. | Evidence of repeated use and willingness to pay. |
| 5. SaaS launch | Add secure tenant accounts, onboarding, subscription billing, support and service monitoring. | Supportable service, tested billing and documented operating processes. |
| 6. Funding integrations | Explore approved finance-provider integrations and capital-allocation rules. | Funding model validated commercially and legally. |

# 9. Suggested technology approach

- **Prototype:** Excel or a small local web app to prove calculations and workflow before investing heavily.
- **Early pilot:** A secure database-backed web application with user accounts, permission levels, backups and audit logs.
- **Integrations:** Add accounting exports or supported integrations only after the core records are reliable. WhatsApp reminders and payment integrations should use approved interfaces and proper consent.
- **Operational principle:** Keep source-of-truth transaction records, avoid silent edits, and make every adjustment traceable.

Do not begin by building a complex AI credit-scoring engine, banking integration or public investment portal. The first product should solve accurate records, collections and cash visibility.

# 10. Key metrics to monitor

- Cash available and minimum liquidity buffer.
- Principal outstanding, disbursements and repayments collected.
- Collection rate by due date and arrears ageing.
- Default and write-off rates, defined consistently.
- Gross interest billed versus interest actually collected.
- Net operating result after losses and funding costs.
- Capital concentration by customer and loan segment.
- Customer retention, active usage, subscription revenue and support cost for the SaaS product.

# 11. Immediate next steps

- Define the first target user: the founder's own lending business or a typical small lender.
- Map the actual lending workflow from application through disbursement, repayment, arrears and closure.
- Specify each field and calculation needed for the first version.
- Build the spreadsheet/web prototype and test it against reconciled examples.

- Have a South African legal and accounting professional review the intended lending model.
- Test the software with a small number of lenders before committing to full product development.

## 12. Strategic recommendation

Build the operating system for your own lending business first, then commercialise it. This creates a practical testing ground and helps reveal which features are genuinely valuable. Keep the software business separate in planning and accounting from the lending operation, even if both initially share a founder.

**The key value proposition is not that the system guarantees a percentage return. It is that it helps a lender understand where capital is, what has actually been collected, which risks are building, and whether growth is financially sustainable.**

## Appendix: Decisions still to be made

- Initial product: internal tool, external SaaS, or staged combination.
- Target customer: informal micro-lenders, registered credit providers, or another specific segment.
- Initial loan types, repayment patterns and jurisdiction.
- Legal structure and required registrations for the lending operation.
- Budget, build approach, data hosting and support responsibilities.
- Subscription pricing validated through customer interviews and pilots.

Note on sources: This is a strategic concept document, not a researched legal opinion or market study. Regulatory references are included as areas for professional verification; no claim is made that any particular structure is automatically compliant.